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9. The difference of totals of both debit and credit side of trial balance is transferred to:
   (a) Trading account (b) Difference account
   (c) Suspense account (d) Miscellaneous account

10. Trial balance is prepared:
   (a) At the end of the year (b) On a particular date
   (c) For a year (d) None of the above

Answers

1 (a)	2 (b)	3 (d)	4 (d)	5 (b)
6 (c)	7 (d)	8 (c)	9 (c)	10 (b)

II Very short answer questions

1. What is trial balance?
2. Give the format of trial balance.
3. What are the methods of preparation of trial balance?
4. State whether the balance of the following accounts should be placed in the debit or the credit column of the trial balance:
   (i) Carriage outwards (ii) Carriage inwards (iii) Sales
   (iv) Purchases (v) Bad debts (vi) Interest paid
   (vii) Interest received (viii) Discount received (ix) Capital
   (x) Drawings (xi) Sales returns (xii) Purchase returns

III Short answer questions

1. What are the objectives of preparing trial balance?
2. What are the limitations of trial balance?
3. 'A trial balance is only a prima facie evidence of the arithmetical accuracy of records'. Do you agree with this statement? Give reasons.

IV Exercises

1. Prepare a trial balance with the following information:

Name of the account	`	Name of the account	`
Purchases	1,00,000	Sales	1,50,000
Bank Loan	75,000	Creditors	50,000
Debtors	1,50,000	Cash	90,000
Stock	35,000	Capital	1,00,000

(Answer: Trial balance total ` 3,75,000)